Overview of the Industry and Companies

Overview of the Industry

The food delivery and quick commerce industry in India has become one of the fastest-growing sectors in the past decade. It combines technology, logistics, and consumer services to meet the rising demand for convenience among urban populations. The industry has expanded rapidly due to increasing smartphone penetration, digital payments, and changing consumer habits where people now prefer ordering meals or groceries online rather than spending time in physical stores. Quick commerce, with its 10–15-minute delivery promise, has added a new dimension to the market, making it more competitive and dynamic. This industry not only creates convenience for consumers but also generates employment for delivery partners and opportunities for restaurants and small merchants.

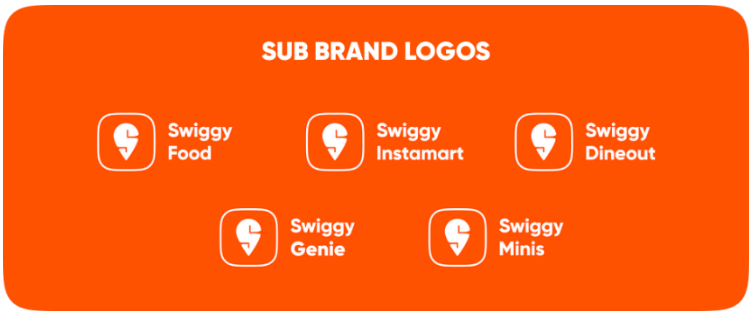
Company 1 – Eternal Limited (Formerly Zomato)

Eternal Limited, earlier known as Zomato, is one of India's leading consumer technology companies in the food and grocery delivery space. It operates multiple businesses including food delivery, Blink it for quick commerce, the district app for going out and entertainment, and Hyper pure for B2B supplies. Eternal has established itself as a household name by serving millions of customers across hundreds of Indian cities. The company focuses on building convenience-led services that cover daily needs, from ordering restaurant food to shopping for essentials. Over the years, Eternal has expanded beyond just food delivery into broader lifestyle services, making it a diverse platform. Its growth journey reflects India's evolving digital economy and the increasing reliance of consumers on mobile-first services.

Financially, Eternal has shown consistent growth, reporting consolidated revenues above ₹20,000 crore in FY 2024–25 with strong improvement in profitability. The food delivery business has matured, contributing stable revenues, while Blink its quick commerce has emerged as a fast-scaling vertical. Eternal has also entered the entertainment ticketing market by acquiring Paytm's ticketing business, which further broadens its consumer base. Its B2B arm, Hyper pure, supplies essentials to restaurants, creating a reliable revenue stream. Eternal is also recognized for introducing innovative consumer features like Zomato Gold and food-on-train services. Overall, Eternal's strategy has been to diversify into multiple consumer touchpoints, which not only spreads risk but also helps it capture a larger share of India's consumption economy.

Company 2 – Swiggy Limited (Overview)

Swiggy is another leading player in India's food and grocery delivery industry. Starting as a food delivery platform, it has expanded into quick commerce through Instamart, out-of-home dining and events via Dineout and Swiggy Scenes, and even professional services through new innovations. Swiggy went public in 2024, making it one of the biggest technology IPOs in India. With its unified app, Swiggy offers users a wide range of services, from ordering meals and groceries to booking live events. The company is known for its customer-first approach and strong technology stack, which allows it to deliver speed, scale, and reliability. Swiggy has become an integral part of everyday life for millions of urban Indians who seek convenience.



In FY 2024–25, Swiggy reported strong growth with a Gross Order Value (GOV) of over ₹46,000 crore, supported by both food delivery and quick commerce. It has more than 17 million monthly transacting users and 238,000 restaurant partners. Quick commerce has become a major growth engine, scaling to over 1,000 dark stores across 124 cities. Swiggy's food delivery segment turned profitable for the first time, showing positive adjusted EBITDA margins, while its dining and events business also achieved quarterly profitability. Despite intense competition, Swiggy continues to innovate with features like Bolt (10-minute hot meals), One BLCK (premium membership), and Eatlists (social discovery of food).

Reason for Choosing This Industry and Companies

I chose this industry and these two companies because they represent the future of how India eats, shops, and experiences convenience. As a shareholder, I am personally invested in their growth and want to understand how they are performing compared to each other. Both Eternal and Swiggy are leaders in this sector, and their strategies, innovations, and financial results show how competitive and exciting the industry has become. Studying these companies helps me learn how consumer behavior, technology, and finance come together to build large businesses. I also believe that being informed about companies I am invested in will make me a more responsible and confident shareholder for the future.

Basis of Preparation of the Financial Statements

The **basis of preparation of financial statements** explains the rules and standards a company follows when preparing its accounts. It ensures that the financial information is **clear, reliable, and comparable** with other companies. Both **Eternal Limited** and **Swiggy Limited** follow the **Indian Accounting Standards (Ind AS)** as notified by the Ministry of Corporate Affairs. These are in line with **international financial reporting practices**. The financial statements are prepared on the **historical cost basis**, except for some items like **certain financial instruments**, which are measured at **fair value** as required by the standards.

Eternal Limited

Eternal Limited prepares its **consolidated and standalone financial statements** in accordance with **Ind AS**. The statements are presented in **Indian Rupees (INR)**, which is the company's **functional and reporting currency**. **Assets and liabilities** are generally recorded at **cost**, but **financial instruments** and a few other items are adjusted to **fair value**. The company also explains how it **consolidates subsidiaries, associates, and joint ventures** to give a complete picture of its operations. Eternal also highlights that **estimates and judgments** are used in some areas, which are **reviewed regularly** by management for accuracy.

2. Basis of preparation and measurement of standalone financial statements and summary of material accounting policies

2.1 Basis of preparation and measurement

These standalone financial statements have been prepared in accordance with Indian Accounting Standard (Ind AS) prescribed under Section 133 of Companies Act, 2013 (the "Act"), read with rule 3 of the companies (Indian Accounting Standards) Rules, 2015 and relevant amendments rules issued thereunder and presentation requirements of Division II of schedule III and other relevant provisions of the Act (as amended from time to time).

The standalone financial statements have been prepared on the historical cost basis, except for the following assets and liabilities which have been measured at fair value:

- Certain financial assets and liabilities measured at fair value (refer accounting policy regarding financial instruments);
- Defined benefits plan obligations and reimbursement right measured at fair value.

The standalone financial statements are presented in Indian Rupees "INR" or "₹" and all amounts disclosed in the standalone financial statements have been rounded off to the nearest crores (as per requirement of Schedule III of the Act), unless otherwise stated. Further, amounts which are less than half a crore are appearing as "0".

(INR crore)

Particulars	Standalone		Consolidated	
	For the financial year ended on March 31			
	2025	2024	2025	2024
Total income	9,877	7,542	21,320	12,961
Less: Total expenses	7,676	6,131	20,623	12,670
Less: Exceptional items	11	39	-	-
Profit/(loss) before tax	2,190	1,372	697	291
Less: Tax expenses	230	1	170	(60)
Profit / (loss) for the year	1,960	1,371	527	351
Other comprehensive income/(loss):				
1) Items that will not be reclassified to profit or (loss)				
a. Remeasurements of the defined benefit plans	(6)	(3)	(10)	3
b. Equity instruments through other comprehensive income	77	60	77	60
c. Income tax relating to above	(30)	-	(30)	-
2) Items that will be reclassified to profit or (loss)				
a. Exchange differences on translation of foreign operations	1	1	2	0
b. Debt instruments through other comprehensive income	112	(8)	112	(8)
c. Income tax relating to above	(23)	-	(23)	-
Total comprehensive income /(loss) for the year	**2,091**	**1,421**	**655**	**406**

Swiggy Limited

Swiggy Limited also prepares its **consolidated and standalone financial statements** in accordance with **Ind AS**. Like Eternal, Swiggy uses **Indian Rupees** as the **presentation currency**, and the accounts are prepared mostly on the **historical cost convention**. However, some **assets and liabilities** such as **derivatives and financial instruments** are measured at **fair value**. The company highlights that its financial statements include all its **subsidiaries**, which are combined using the **consolidation method**. It also states that **management estimates and assumptions** play an important role in determining the reported amounts of **assets, liabilities, income, and expenses**.

2. Material Accounting Policies

2.1. Statement of compliance and basis of preparation

A. Statement of compliance

The Consolidated Financial Statements of the Group and its associate comprise of the Consolidated Balance Sheet as at March 31, 2025, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), the Consolidated Statement of Changes in Equity, the Consolidated Statement of Cash Flows for the year ended March 31, 2025, Material Accounting Policies, Notes to the Consolidated Financial Statements as at and for the year ended March 31, 2025 (together referred to as 'Consolidated Financial Statements') has been prepared and presented in accordance with the Indian Accounting Standards ('Ind AS') notified under Section 133 of the Companies Act, 2013, ('the Act'), read with Rule 3 of the Companies (Indian Accounting Standards) Rules 2015 and other relevant provisions of the Act as amended from time to time.

The Consolidated Financial Statements of the Group for the year ended March 31, 2025 were approved and authorised for issue in accordance with the resolution of the Board of Directors on May 09, 2025.

B. Functional and Presentation currency

The Consolidated Financial Statements are presented in Indian Rupees (₹), which is also the Group's functional currency. All amounts have been rounded-off to the nearest million, unless otherwise indicated.

C. Basis for Preparation

These Consolidated Financial Statements are prepared in accordance with Indian Accounting Standards (Ind AS) under the historical cost convention on the accrual basis, except for the following:

- certain financial assets and liabilities which are measured at fair value (refer accounting policy regarding financial instruments);
- defined benefit plans – measured at fair value;
- share- based payments and
- assets and liabilities arising in a business combination.

(Amount in ₹ million)

Particulars	Standalone		Consolidated	
	FY 2024-25	FY 2023-24	FY 2024-25	FY 2023-24
Revenue from operations	87,964.80	63,722.98	152,267.55	112,473.90
Other income	6,334.57	6,442.93	3,961.70	3,869.59
Total Income	**94,299.37**	**70,165.91**	**156,229.25**	**116,343.49**
Less: Total Expenses	119,276.85	88,020.29	187,254.49	139,473.84
Less: Exceptional items	439.23	1,025.94	117.01	305.94
Less: Share of loss of an associate	-	-	25.74	66.14
Loss before tax	**(25,416.71)**	**(18,880.32)**	**(31,167.99)**	**(23,502.43)**
Tax Expenses	NIL	NIL	NIL	NIL
Loss for the year	**(25,416.71)**	**(18,880.32)**	**(31,167.99)**	**(23,502.43)**
Other comprehensive income, net of tax	13.15	935.65	10.53	942.93
Total comprehensive loss for the year, net of tax	**(25,403.56)**	**(17,944.67)**	**(31,157.46)**	**(22,559.50)**

By following **Ind AS** and using a **consistent basis of preparation**, both Eternal and Swiggy give **investors, shareholders, and stakeholders** a **reliable view of financial health**. This makes it easier to **compare performance** not only with each other but also with other companies in the industry. It also builds **trust** that the reported **profits, assets, and liabilities** are accurate and prepared according to recognized rules. As a **shareholder**, I find this important because it means I can **rely on their financial results** to make **better investment decisions** in the future.

Another important point about the **basis of preparation** is that it ensures **transparency and comparability** across companies. Since both Eternal and Swiggy follow the same set of **Ind AS rules**, their numbers are prepared under a **common framework**, making it easier for analysts, regulators, and shareholders to evaluate them side by side. This also aligns Indian companies with **global accounting practices**, helping attract foreign investors who want reliable and standardized reports. In simple words, by sticking to these rules, the companies show they are **serious about good governance** and are committed to **building long-term trust** with the market.

Disclosure of Changes in Accounting Policies and Events after Reporting Period

Companies are required to disclose if they make any **changes in accounting policies** or if there are **events after the reporting period** which could impact their results. This ensures **fairness, consistency, and transparency** for all users of financial statements. Even if there are **no changes or events**, the company must still confirm this so that readers know the numbers are **comparable with past years**. This way, both **investors and regulators** can make correct judgments about the performance and stability of the business without being misled by hidden adjustments.

Eternal Limited

Eternal Limited followed the **same accounting policies** as in the previous year and reported **no changes during FY 2024–25**. This means that the company's results can be **compared directly** with earlier years without confusion. Eternal also did not list any **unusual events after the reporting period** that would change its financial position. This shows the company had a **stable financial year** with no exceptional policy shifts. Such **stability** is helpful for shareholders because it shows management is **consistent and predictable** in the way it reports financial information.

Swiggy Limited

Swiggy Limited had some very **important events after the reporting period**. The company **converted into a public limited company** and then **completed its stock exchange listing in India in November 2024**. This is a **major disclosure** because becoming a **listed company** increases **transparency requirements** and gives greater access to capital markets. Although Swiggy did not change its **core accounting policies**, this **subsequent event** is significant for shareholders. It marks the company's **transition** from a private technology startup into a **publicly traded enterprise**.

When comparing the two companies, the main difference is that **Eternal Limited remained steady with no changes**, while **Swiggy Limited reported one of the biggest events in its history by going public**. Both companies followed the **Ind AS disclosure rules** by presenting this information properly. Eternal provides a sense of **stability**, while Swiggy signals **transformation and growth**. Both approaches are valuable for investors: one reassures them of **consistency**, while the other highlights a **milestone** that could shape the company's future performance.

ANNEXURE – VII

The Board of directors
Eternal Limited
(Formerly known as Zomato Limited) ("Company")
Ground Floor 12A, 94 Meghdoot,
Nehru Place, New Delhi - 110019

Sub: Compliance Certificate by CEO & CFO under Regulation 17(8) read with schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

We, Deepinder Goyal, Managing Director & Chief Executive Officer and Akshant Goyal, Chief Financial Officer of the Company, hereby certify to the board of directors of the Company, pursuant to Regulation 17(8) read with schedule II of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 to the effect that:

A. We have reviewed financial statements (standalone and consolidated) and the cash flow statement (herein after called as "**Statements**") for the financial year ended March 31, 2025, and to the best of our knowledge and belief:

   (1) these Statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading.

   (2) these Statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

B. There are, to the best of our knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or violative of the Company's code of conduct.

C. We accept responsibility for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial reporting and have disclosed to the auditors and the audit committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

D. We have indicated to the auditors and the audit committee:

   (1) that there have been no significant changes in internal control over financial reporting during the financial year 2024-25.

   (2) there have been no significant changes in accounting policies during the financial year 2024-25 and accordingly, no disclosures in the notes to the financial statements are required to be made. ~~and that the same have been disclosed in the notes to the financial statements~~; and

   (3) that there are no instances of significant fraud of which we have become aware and the involvement therein, of the management or an employee having a significant role in the Company's internal control system over financial reporting.

For Eternal Limited
(Formerly known as Zomato Limited)

Sd/-
Deepinder Goyal
Managing Director & CEO

Place: Gurugram
Date: May 1, 2025

Sd/-
Akshant Goyal
Chief Financial Officer

Place: Gurugram
Date: May 1, 2025

Notes to the Standalone Financial Statements (Contd.)

for the year ended March 31, 2025

CIN: L74110KA2013PLC096530

(All amount in ₹ Million, unless otherwise stated)

46. Other notes

i. The Indian Parliament has approved the Code on Social Security, 2020 which would impact the contributions by the Company towards Provident Fund and Gratuity. The Ministry of Labour and Employment has released draft rules for the Code on Social Security, 2020 on November 13, 2020, and has invited suggestions from stakeholders which are under active consideration by the Ministry. The Company will assess the impact and its evaluation once the subject rules are notified and will give appropriate impact in its financial statements in the period in which the Code becomes effective and the related rules to determine the financial impact are published.

ii. During the year ended, March 31, 2025, the Company has completed its Initial Public Offer (IPO) of 290,468,426 Equity shares of face value of ₹ 1.00 each at an issue price of ₹ 390.00 per share (including a share premium of ₹ 389.00 per share). A discount of ₹ 25.00 per share was offered to eligible employees bidding in the employee's reservation portion of 336,794 Equity shares. The issue comprised of a fresh issue of 115,380,563 Equity shares aggregating to ₹ 44,990.00 Million and offer for sale of 175,087,863 equity shares by selling shareholders aggregating to ₹ ₹ 68,284.27 Million. Pursuant to the IPO, the equity shares of the Company were listed on National Stock Exchange of India Limited (NSE) and BSE Limited (BSE) on November 13, 2024.

47. Subsequent events

i. Subsequent to balance sheet date, the Company has allotted 203,525,118 number of equity shares to the "Swiggy Employee Stock Option Trust" for a consideration of ₹ 203.53 Million to facilitate the allocation of shares to the employees upon the exercise of vested options, in accordance with the terms and conditions set out in the respective ESOP Scheme and the trust deed.

ii. Pursuant to the resolutions passed by the Company on April 22, 2025 and May 02, 2025, the Company has allotted 3,632,264 and 8,629 Equity shares, respectively, pursuant to the exercise of stock options by the eligible employees, under Swiggy ESOP Plan 2015 & Swiggy ESOP Plan 2021.

As per our report of even date attached
for B S R & Co. LLP
Chartered Accountants
Firm's Registration Number: 101248W/W-100022

for and on behalf of the Board of Directors of
Swiggy Limited ***(formerly known as Swiggy Private Limited, Bundl Technologies Private Limited)***

Sd/-
Sampad Guha Thakurta
Partner
Membership No.: 060573

Sd/-
Sriharsha Majety
Managing Director &
Group Chief Executive Officer
DIN: 06680073

Sd/-
Lakshmi Nandan Reddy Obul
Whole-time Director &
Head of Innovations
DIN: 06686145

Sd/-
Rahul Bothra
Chief Financial Officer

Sd/-
Venkatraman Ramachandran
Company Secretary

Place : Bengaluru
Date : May 09, 2025

Place : Bengaluru
Date : May 09, 2025

Place : Bengaluru
Date : May 09, 2025

Inventory Valuation Method

Inventories are an important part of any company's financial statements because they represent goods that will be sold or used in the business. To keep reporting clear and consistent, companies must explain how they calculate the value of their inventories. Both **Eternal Limited** and **Swiggy Limited** follow the same general rule: inventories are valued at the **lower of cost and net realizable value (NRV)**. This means if the market price of the items falls below their purchase cost, the company must reduce their value to reflect the lower amount. The **cost** of inventories is calculated using the **weighted average method**, which smooths out price fluctuations over time. This approach ensures that inventory figures on the balance sheet are realistic and not overstated, giving shareholders a fair picture of the company's financial health.

Eternal Limited

In the case of **Eternal Limited**, inventories mainly relate to its quick commerce arm **Blinkit** and its B2B supply business **Hyperpure**, where it keeps groceries, raw materials, and other goods ready for customers and restaurant partners. The company clearly mentions that inventories are valued at the **lower of cost and NRV**, and the **cost is measured using the weighted average method**. Eternal also explains that if the value of inventory decreases due to damage, obsolescence, or a fall in market prices, it records a **write-down** to reflect the reduced value. If conditions improve later, it may **reverse the write-down** up to the original cost. This practice is very important in fast-moving businesses like quick commerce where products like food, groceries, or perishable items can lose value quickly. Eternal's approach shows a balance between **prudence** (not overstating assets) and **accuracy** in reporting inventory.

ix. Inventories

Inventories are valued at lower of cost and net realisable value. Cost is determined on first in first out basis. Inventory cost includes purchase price and other directly attributable costs (such as taxes other than those subsequently recovered from the tax authorities), freight inward and other related incidental expenses incurred in bringing the inventory to its present condition and location.

Net realisable value is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale.

Swiggy Limited

For **Swiggy Limited**, inventories also play a big role in its quick commerce business **Instamart** and other services where it manages grocery, household items, and essentials. Swiggy too follows the principle of valuing inventory at the **lower of cost and NRV**, with **cost calculated using the weighted average method**. This means every time stock is purchased at different prices, an average cost is applied across all units. Like Eternal, Swiggy recognizes **write-downs** if the value of goods falls below cost and makes **reversals** if the value recovers later. This method ensures the company does not overstate profits by showing unsellable stock at a higher value. Since quick commerce relies heavily on perishable items and fast inventory turnover, this method reflects a **true and fair view** of the business. Swiggy's disclosure highlights its commitment to **transparent and consistent reporting**, which is essential for a newly listed public company.

2.16. Inventories

Inventory is stated at the lower of cost and net realisable value. Cost of inventories comprise of all cost of purchase and other cost incurred in bringing the inventories to their present location and condition. Cost is determined using a weighted average method. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

For **investors and shareholders**, knowing the **inventory valuation method** is very important. Both Eternal and Swiggy deal in products like **food, groceries, and essentials**, where prices can change quickly and goods may expire. By using the **lower of cost and NRV** rule with the **weighted average method**, both companies avoid showing an **inflated value of stock** on their balance sheet. This creates **trust** because it means the numbers are closer to reality. Also, their practice of making **write-downs and reversals** shows they follow a **prudent approach**, adjusting values when needed. For me as a shareholder, this ensures the profits shown are genuine and not artificially boosted by old or unsellable stock.

Valuation of Fixed Assets: Method of Depreciation, Recognition and Derecognition of Fixed Assets, Estimated Useful Lives of the Assets of the Company

Fixed assets are the **long-term resources** a company uses to run its business smoothly, such as **buildings, vehicles, computers, office furniture, and plant & machinery**. These assets are not meant for resale but are used to provide services or support day-to-day operations. According to accounting standards, companies must explain how they are **recognized (recorded initially), depreciated (expensed gradually), and derecognized (removed when no longer useful)**. Both **Eternal Limited** and **Swiggy Limited** follow the **Indian Accounting Standards (Ind AS)** when preparing their reports. They record fixed assets at their **original cost**, which includes the purchase price plus any expenses directly related to making the asset ready for use, such as installation or delivery charges. Over time, assets lose value because of **wear and tear, technology upgrades, or obsolescence**, and this is reflected through **depreciation**. By using these rules consistently, companies give investors and stakeholders a **true and fair view** of their financial position. This ensures that the reported value of assets is neither overstated nor misleading, helping shareholders to understand how efficiently the company manages its long-term resources.

Eternal Limited

Eternal Limited records its **property, plant, and equipment (PPE)** at **cost less accumulated depreciation and impairment losses**. The company uses the **straight-line method (SLM)** of depreciation, where the cost of each asset is spread evenly over its estimated useful life. Eternal provides a detailed schedule of useful lives, showing how fast different assets are depreciated. For example, **computers are depreciated over 1–3 years**, **electrical equipment over 1–5 years**, **furniture and fittings over 1–5 years**, **motor vehicles over 5–8 years**, and **plant & machinery over 1–10 years**. **Leasehold improvements** are depreciated over the **lease period or useful life, whichever is shorter**. If an asset is sold, discarded, or no longer provides economic benefits, it is **derecognized**, and any profit or loss is recorded in the financial statements. Eternal also reviews the **useful lives and residual values** of its assets regularly, making changes if needed. By adopting **shorter useful lives for technology-related assets**, the company shows a **conservative approach**, which reflects the fast pace of change in its operations. This policy prevents overstatement of asset values and ensures investors see the most realistic financial position.

Swiggy Limited

Swiggy Limited also measures its **property, plant, and equipment** at **cost less accumulated depreciation and impairment losses**. Like Eternal, it applies the **straight-line method (SLM)** to allocate the cost of assets evenly across their useful lives. However, Swiggy's schedule of useful lives is slightly different. For example, **computers are depreciated over 3 years**, **office equipment over 5 years**, **furniture and fixtures over 5 years**, **plant and equipment over 5 years**, and **motor vehicles over 8 years**. **Leasehold improvements** are depreciated over the **lease term or useful life, whichever is shorter**. Swiggy also emphasizes that when a **significant part of an asset** is replaced, the cost of the new part is **capitalized**, while the old part is **derecognized** from the books. Gains or losses on disposal are recorded in the profit and loss account. Like Eternal, Swiggy also reviews useful lives and residual values annually, adjusting prospectively when required. Swiggy's slightly longer useful lives for furniture and equipment suggest that it sees these assets as **stable and durable**, which fits its large-scale delivery and warehousing operations. This approach ensures consistency but also shows confidence in the long-term use of its resources.

When we compare the fixed asset policies of **Eternal Limited** and **Swiggy Limited**, we see both similarities and differences. Both companies record PPE at **cost less depreciation and impairment** and use the **straight-line method (SLM)** for depreciation. Both follow the rule that **leasehold improvements** are depreciated over the **lease period or useful life, whichever is shorter**. However, there are differences in the **useful lives assigned to assets**. Eternal adopts **shorter lives for technology-related items**, such as **computers (1–3 years)** and **furniture (1–5 years)**. In contrast, Swiggy uses **3 years fixed for computers** and **5 years for furniture and fixtures**. This difference shows Eternal's **conservative approach**, probably because its businesses like Blinkit and Hyperpure rely heavily on fast-changing technology and equipment that wears out quickly. Swiggy, on the other hand, assumes longer usability, which suggests **operational stability** in its assets. Both companies follow a consistent **derecognition policy**, removing assets from the balance sheet when they are sold or no longer useful. Overall, the policies reflect each company's **business model and risk appetite**, with Eternal being more cautious and Swiggy leaning toward stability.

Material Accounting Policies to the Standalone Financial Statements

for the year ended March 31, 2025

CIN : L93030DL2010PLC198141

- Level 2: Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3: Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the standalone financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting year.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

vi. Property, plant and equipment

Property, plant and equipment ("PPE") are stated at cost, less accumulated depreciation and accumulated impairment loss, if any. Such cost includes the expenditure directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Subsequent costs on a PPE are included in the asset's carrying amount only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognized when replaced. Rest of the subsequent costs are charged to the statement of profit and loss in the reporting period in which they are incurred.

Capital work in progress is stated at cost, net of accumulated impairment loss, if any.

Depreciation on all property, plant and equipment are provided on a straight-line method based on the estimated useful life of the asset, which is as follows:

Property, plant and equipment	Useful lives as per Schedule II	Useful lives estimated by management
Electrical Equipment's	10 years	3 years
Furniture & Fittings	10 years	3 years
Computers	3 years	2 years
Motor Vehicles	8 years	8 years

Leasehold improvements are amortized over the lease term or estimated useful life of such assets, whichever is lower.

The management has estimated the useful lives and residual values of all property, plant and equipment and adopted useful lives based on management's technical assessment of their respective economic useful lives. The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year end and adjusted prospectively (if any).

Depreciation on the assets purchased during the year is provided on pro-rata basis from the date of purchase of the assets. Individual assets costing less than INR 5,000 are fully depreciated in the year of purchase.

An item of property, plant and equipment and any significant part initially recognized is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds

Notes to the Consolidated Financial Statements (Contd.)

for the year ended March 31, 2025

CIN: L74110KA2013PLC096530

the income earned from the transacting users is recorded as advertising and marketing expenses.

When incentives/discounts are provided to transacting users where the Group is not responsible for services, the transacting users are not considered customers of the Group, and such incentives/discounts are recorded as advertising and marketing expenses.

k. Other income:

Profit on sale of mutual funds and fair value impact on mark-to-market contracts are recognized on transaction completion and or on reporting date as applicable.

Interest income is recognized using the effective interest method or time-proportion method, based on rates implicit in the transaction.

Dividend income is recognized when the Group's right to receive Dividend is established.

l. Contract balances:

Trade receivables

Trade receivable is the group's right to consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due). Refer to accounting policies of financial assets in section 2.14 b for initial recognition and subsequent measurement of financial assets.

Contract assets

Contract assets is the group's right to consideration in exchange for services that the group has transferred to a customer where that right is conditioned on something other than the passage of time.

Contract liabilities

Contract liability is recognized where the group has an obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer. Contract liabilities are recognized as revenue when the Group performs under the contract (i.e., transfers control of the related goods or services to the customer).

Other receivables

Brand claim receivables are recognized when it is probable that economic benefits will flow to the Group, and the amount of the claim can be reliably measured. The Group will assess the likelihood of receiving the brand claim and recognize it as a receivable in the financial statements when the criteria are met. The brand claim receivables are initially measured at their fair value, which is typically the amount the Group expects to receive in cash or cash equivalents. Subsequent measurement will be done to identify changes in the expected cash flows associated with the brand claim receivables, if any.

2.7. Property, plant and equipment

Property, Plant and equipment is stated at cost, net of accumulated depreciation and accumulated impairment losses, if any. The cost comprises purchase price, borrowing costs if capitalization criteria are met, directly attributable cost of bringing the property, plant and equipment to its location and condition necessary for it to be capable of operating in the manner intended by the management.

The cost of an item of property, plant and equipment shall be recognized as an asset if, and only if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

When significant parts of plant and equipment are required to be replaced at intervals, the Group depreciates them separately based on their specific useful lives. Likewise, when a major inspection is performed, its cost is recognized in the carrying amount of the plant and equipment as a replacement if the recognition criteria are satisfied. All other repair and maintenance costs are recognized in the Consolidated Statement of Profit or Loss as incurred. The present value of the expected cost for the decommissioning of an asset after its use is included in the cost of the respective asset if the recognition criteria for a provision are met. Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Group and the cost of the item can be measured reliably.

Gains or losses arising from derecognition of the assets are measured as the difference between the

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net disposal proceeds and the carrying amounts of the assets and are recognized in the Consolidated Statement of Profit and Loss when the assets are derecognized.

Capital work in progress

Amount paid towards the acquisition of property, plant and equipment outstanding as of each reporting date and the cost of property, plant and equipment not ready for their intended use before such date are disclosed under capital work-in-progress. The capital work- in-progress is carried at cost, comprising direct cost, related incidental expenses and attributable interest. No depreciation is charged on the capital work in progress until the asset is ready for their intended use.

2.8. Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination are measured at fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses (if any). While developing an intangible asset the expenses incurred during the research phase are charged to the Consolidated Statement of Profit and Loss in the period in which the expenditure is incurred while expenditure incurred during development phase are capitalized. Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognized in profit or loss as incurred.

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in the Consolidated Statement of Profit and Loss when the asset is derecognized.

2.9. Depreciation and amortisation

Depreciation on property, plant and equipment and amortisation on intangible assets with finite useful lives is calculated on a straight-line basis over the useful lives of the assets estimated by the management.

The Group has used the following useful lives to provide depreciation on plant and equipment and amortisation of intangible assets:

Asset category	Useful lives estimated by the management
Plant and equipment*	5
Office equipment	5
Computer equipment	3
Furniture and fixtures*	5
Leasehold improvements	Lower of lease term or useful life
Computer software	5
Non-compete asset	3
Customer contracts*	3
Vendor Relationships*	5
Technology*	10
Trademark*	5-15
Other intangible assets*	3-12

** Based on an internal technical evaluation, management believes that the useful lives in the table above are realistic and reflect fair approximation of the period over which the assets are likely to be used. Hence, the useful lives for these assets is different from the useful lives as prescribed under part C of Schedule II of The Companies Act 2013.*

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at the end of each reporting period and adjusted prospectively, if appropriate.

Depreciation on additions/ disposals is provided on a pro-rata basis i.e., from/ up to the date on which asset is ready for use/ disposed off. Individual assets costing less than INR 5,000 are fully depreciated in the year of purchase.

Intangible assets with finite lives are assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are adjusted prospectively.

2.10. Impairment

Impairment of Financial assets

The Group assesses at the end of each reporting period whether a financial asset or a group of financial assets is impaired. Ind AS 109 ('Financial instruments') requires expected credit losses to be measured through a loss allowance. The Group recognizes

Comparative Analysis of Accounting Treatment and Disclosures

When we compare the accounting treatment and disclosures of **Eternal Limited** and **Swiggy Limited**, we can see both **similarities and differences**. Both companies follow **Indian Accounting Standards (Ind AS)** and prepare their accounts on a **historical cost basis with some items at fair value**. This provides a **common framework** that makes comparison easier for investors. The disclosure styles are also quite detailed, with both companies explaining their policies clearly in the notes to accounts. However, the way they apply these standards in areas like **inventory, fixed assets, and post-reporting events** shows some differences. These differences are not violations but reflect each company's **business model, risk appetite, and industry practices**.

Inventory Policies

Both **Eternal and Swiggy** follow the principle of valuing inventories at the **lower of cost and net realizable value (NRV)**, using the **weighted average method** to calculate cost. This ensures inventories are not overstated, especially since both companies deal in **fast-moving goods like groceries, food, and essentials**. Both companies also record **write-downs** if stock loses value and **reversals** if conditions improve. The key similarity here is their commitment to **prudence and transparency**. The difference lies in the way they emphasize their disclosures: **Eternal highlights reversals of write-downs**, while **Swiggy focuses on provisions for damaged or slow-moving stock**. Overall, their inventory accounting is very consistent, which makes it easier for investors to compare their financial results.

Fixed Assets Recognition

In terms of fixed assets, **both companies record property, plant, and equipment (PPE) at cost less accumulated depreciation and impairment**. They also use the **straight-line method (SLM)** of depreciation, spreading the cost evenly over useful lives. Both companies follow the same **derecognition rule**: assets are removed from the books when they are sold, replaced, or no longer provide benefits. However, there is a key difference. **Swiggy emphasizes capitalization of major replacements**, meaning if an important part of an asset is replaced, the new part is added to the balance sheet while the old part is removed. **Eternal also applies this, but it focuses more on conservative useful lives**, especially for technology-related assets. These subtle differences show that both companies are compliant with Ind AS, but tailor their disclosures to fit their operations.

Depreciation and Useful Lives

The biggest difference between Eternal and Swiggy is in the **useful lives of assets**. **Eternal uses shorter useful lives** for items like **computers (1–3 years)** and **furniture (1–5 years)**, reflecting the fast-changing nature of its business. This leads to **higher depreciation charges** each year, giving a **conservative financial picture**. **Swiggy, on the other hand, uses longer useful lives**, such as **3 years for computers** and **5 years for furniture**, which means depreciation expenses are smoother and lower in the short term. This approach shows more confidence in the durability of its assets. Both companies use the **straight-line method (SLM)**, so the difference lies mainly in the estimates. These differences are not about correctness but about **management judgment**, showing how companies adapt policies to match their industries.

Reporting Practices

Reporting practices also show a contrast. **Eternal disclosed no changes in accounting policies and no major post-reporting events**, signaling **stability and consistency**. **Swiggy, however, disclosed major subsequent events**, such as its **conversion to a public limited company and listing on NSE and BSE** in November 2024. This shows how Swiggy's reporting focused on **growth milestones** and changes in corporate structure. Both companies disclosed their policies transparently, but their focus areas were different: Eternal reassures investors of **steady reporting**, while Swiggy signals **transformation and future opportunities**. These differences show how disclosure practices depend not only on accounting standards but also on the company's **stage of growth and business priorities**.

In summary, **both Eternal and Swiggy follow Ind AS, use lower of cost and NRV for inventories, and apply straight-line method for depreciation**. The **key similarities** are their compliance, prudence, and transparent disclosures. The **main differences** lie in **useful lives of fixed assets**, where Eternal is more conservative, and in **reporting events after the period**, where Swiggy disclosed its IPO and listing. These differences reflect their **business strategies**: Eternal focuses on **caution and reliability**, while Swiggy highlights **growth and transformation**. For investors, both approaches are valuable because they give a complete picture of how each company manages its resources and communicates with shareholders.

Commentary on Disclosure Practices in the Industry

The food delivery and quick commerce industry in India has grown very quickly, and with this growth comes the need for **strong disclosure practices**. Investors and regulators expect companies to be **transparent, consistent, and reliable** in the way they report their numbers. Both **Eternal Limited** and **Swiggy Limited** follow **Indian Accounting Standards (Ind AS)**, which gives a common framework for preparing financial statements. This is important because it ensures **comparability between companies**. However, while the standards create a base, companies still have room to present information differently depending on their strategies. In this industry, where businesses face **fast-changing technology, thin margins, and high competition**, disclosures about **inventory methods, asset valuation, and major corporate events** become even more important. Good disclosure helps investors see the **real financial picture** rather than just headline numbers.

Eternal's Disclosure Practices

Eternal Limited's disclosure practices are built around **consistency and stability**. The company clearly states that there were **no changes in accounting policies in FY 2024–25**, and it uses a **conservative approach in useful lives** of fixed assets. This gives shareholders confidence that the numbers can be **compared directly with past years** without adjustments. Eternal also gives detailed notes on **inventories**, including how it handles **write-downs and reversals** when values change. In fixed assets, Eternal provides a full **schedule of useful lives**, showing its caution with fast-changing assets like computers and electrical equipment. The company's disclosures do not highlight any major post-reporting events, which suggests a focus on **steady reporting rather than growth milestones**. Overall, Eternal's style reassures investors who value **predictability and conservative accounting practices**.

Swiggy's Disclosure Practices

Swiggy Limited's disclosure practices reflect a company that is undergoing **transformation and rapid growth**. Like Eternal, it values inventories at the **lower of cost and NRV using weighted average**, but it puts extra emphasis on **provisions for damaged or slow-moving stock**. In fixed assets, Swiggy also follows the **straight-line method**, but its **useful lives are slightly longer**, which shows confidence in the durability of its resources. The most important disclosure was about **events after the reporting period** – Swiggy became a **public company and listed on NSE and BSE in November 2024**. This is a huge milestone and was reported transparently in the notes. Unlike Eternal, which stressed stability, Swiggy's disclosures show **change, ambition,**

and readiness to scale. For shareholders, these disclosures help them see not just the numbers, but also the **direction of the company's journey**.

Industry-Wide Insights

When we look at both companies together, we see that the industry has **strong disclosure practices but different focuses**. Eternal emphasizes **conservative accounting and stability**, while Swiggy highlights **growth events and long-term confidence**. Both are compliant with Ind AS, but the **tone of disclosure** reflects their different stages of maturity. For an industry like food delivery and quick commerce, which deals with **fast-moving goods and high operational risks**, disclosures around **inventory valuation, depreciation policies, and subsequent events** are extremely important. Investors in this industry rely on these notes because profits can be very sensitive to accounting judgments. Overall, the industry is moving towards **better transparency**, especially with new IPOs like Swiggy's, which demand more detailed disclosures.

Importance for Shareholders

For shareholders, these disclosures are not just technical details – they directly affect **trust and investment decisions**. **Eternal's cautious policies** mean shareholders can feel safe that numbers are not overstated, while **Swiggy's event-based disclosures** give shareholders confidence about future opportunities. Both styles are valuable in different ways. In a high-risk industry, knowing whether companies are being **conservative or optimistic** helps investors judge where to place their money. Strong disclosure practices also reduce the risk of **surprises or hidden losses**, which is essential for companies handling thousands of transactions daily. In simple words, good disclosure is the bridge between **management and investors**, and in this industry, it is the key to building long-term trust.

Final Comment

Based on the analysis, the **food delivery and quick commerce industry** is developing a **culture of strong and detailed disclosures**. Eternal's approach gives a picture of **stability and prudence**, while Swiggy's approach highlights **change and ambition**. Both styles are useful for investors because they show different ways of balancing **risk and opportunity**. The key similarity is that both companies follow **Ind AS, disclose inventory methods clearly, and provide transparency in asset valuation**. The main difference is in **useful lives of assets** and the way **post-reporting events** are disclosed. Together, they show that the industry is serious about **transparent reporting**, which is a positive sign for its future growth. For me as a shareholder, this is reassuring because it proves that the companies are not just chasing growth but are also **committed to accountability and investor confidence**.

CONCLUSION

In this assignment, I compared the disclosure practices of **Eternal Limited** and **Swiggy Limited**, two of the biggest players in India's food delivery and quick commerce industry. The study showed that while both companies follow **Indian Accounting Standards (Ind AS)**, their **approaches to disclosure reflect different business strategies**. Eternal focuses on **stability, conservative accounting, and shorter useful lives of assets**, which reassures investors about the reliability of its numbers. Swiggy, on the other hand, highlights **growth milestones such as its IPO and stock exchange listing**, showing confidence in its future prospects. Despite their differences, both companies disclose their **inventory valuation and fixed asset policies clearly**, which provides transparency and builds investor trust. This analysis confirmed that even within the same industry, disclosure practices can vary significantly depending on each company's risk appetite and business maturity.

One key takeaway from this project is the **importance of disclosure practices** in industries like food delivery and quick commerce. Since these companies deal with **perishable goods, high volumes, and rapidly changing technology**, small changes in accounting estimates can make a big difference in reported profits. Eternal's **conservative style** reduces risks of overstatement, while Swiggy's **growth-focused disclosures** help investors understand its expansion strategy. Both practices are useful for shareholders because they provide a complete picture of how companies balance **caution and opportunity**. This shows that good disclosure is not just a technical requirement but a **communication tool between management and investors**. For me as a shareholder, studying these practices has given me a clearer understanding of how to evaluate companies and how disclosure quality influences investment decisions.

In conclusion, the **food delivery and quick commerce industry** is building a strong culture of **accountability and transparency**. Eternal Limited and Swiggy Limited may differ in their emphasis, but both are committed to **clear reporting and compliance with Ind AS**. Eternal sets an example of **prudence and stability**, while Swiggy demonstrates **transformation and ambition**. Together, they show the diversity of disclosure practices in a fast-changing sector. As the industry continues to grow, disclosure practices will become even more critical to attract **domestic and international investors**. For me, this assignment has been valuable not only as a shareholder but also as a learner, because it helped me connect **accounting concepts with real-world business practices**. It reinforced the idea that **strong disclosures are the backbone of trust in financial markets** and are essential for making informed decisions.

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